

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMEN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
-----	X	

**BRIEF OF
INTERNATIONAL LONGSHOREMEN’S ASSOCIATION
IN OPPOSITION TO RESPONDENTS’
MOTION TO BIFURCATE PROCEEDING**

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INTRODUCTION

The International Longshoremen's Association (ILA) submits this opposition to the Motion to Bifurcate the Proceeding to Address Threshold Jurisdictional Challenge (Motion to Bifurcate) filed by Respondents Gateway Terminals, LLC, (Gateway), Charleston Stevedoring Company, LLC, (CSC), Ports America Florida, Inc., (Ports America), SSA Atlantic, LLC, (SSA), and Ceres Marine Terminals, Inc. (Ceres) (collectively, Respondents).¹

Respondents' motion seeks extraordinary relief: splitting this proceeding into two separate, and duplicative, proceedings that would likely include two sets of document requests, two sets of depositions of the parties, and duplicative subpoenas to third parties for both documents and testimony. Moreover, a review of the cases cited shows that—despite Respondents' suggestion to the contrary—this sort of bifurcation has **not** been granted by the Commission before. This brief will show that (1) the relief sought by Respondents presents a departure from typical Commission practice; (2) Respondents fail to articulate any of the usual bases for bifurcation such as prejudice; and (3) it is in fact the ILA that will be prejudiced if it were forced to serve subpoenas for documents and testimony on third parties twice in the same case.

STATEMENT OF FACTS ALLEGED

In their initial May 9, 2022 motion to dismiss, Respondents submitted a letter from the Office of General Counsel opining that the Parties to FMC Agreement No. 2019-06783 “do not

¹ References to the ILA's Amended Verified Complaint will be cited as AVC ___. References to the Respondents' Brief in Support of their Motion to Bifurcate will be cited as Br. ___. References to Respondents' first Motion to Dismiss will be cited as MTD Br. ___. References to Respondents' Partial Motion to Dismiss and Motion to Strike will be cited as SMTD Br. ___. References to Respondents' Sovereign Immunity Brief will be cited as Sov. Br. ___.

appear to be marine terminal operators (MTOs) as defined by the Shipping Act of 1984, and that this agreement therefore falls outside of the Commission's jurisdiction.”²

On June 3, 2022 the ILA filed a consent motion for leave to file the AVC, and on June 23, 2022, Administrative Law Judge Erin Wirth ruled that the AVC pleaded sufficient facts to state claims under Counts 1, 2, and 3 of the AVC and that the ILA’s claim for reparations was immaterial for purposes of the sufficiency of the ILA’s ability to state claims for relief. Then on July 8, 2022, Respondents filed a Partial Motion to Dismiss and Motion to Strike Counts 2, 3, and 4 of the AVC and prayer for reparations.

While that motion was pending, the Commission also asked the parties to file briefs explaining how sovereign immunity could affect the relief sought by the ILA. Respondents then filed what was effectively a third motion to dismiss, raising the entirely new argument that the ILA had failed to join indispensable parties: namely, the South Carolina State Ports Authority (SCSPA) and the Georgia Ports Authority (GPA). On November 7, 2022, ALJ Linda S. Harris Crovella denied Respondents’ Partial Motion to Dismiss and Motion to Strike and ruled that the matter of sovereign immunity would be considered when the Commission crafted a remedy, if any was issued in the ILA’s favor. Respondents answered the AVC on November 18, 2022.

The ILA now moves to oppose Respondents’ pending motion which represents their fourth attempt to avoid litigating this dispute on the merits.

ARGUMENT

Respondents’ motion asks to bifurcate this proceeding into two separate litigations: the first proceeding solely on jurisdictional issues, and the second on the merits of the ILA’s claims.

² The August 6, 2019 opinion letter from General Counsel’s Office expressly states that the opinion is not binding on the Commission.

The Commission's Rules do not specify criteria for separating one proceeding into two, but Commission Rule 12 provides that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule of Civil Procedure Rule 42(b), a court may order separate trials on separate claims or issues for "convenience, to avoid prejudice, or to expedite and economize." Fed. R. Civ. P. 42(b).

However, courts order separate trials only when "clearly necessary." *Wetherill v. Univ. of Chi.*, 565 F. Supp. 1553, 1566-67 (N.D. Ill. 1983) (citing 5 James William Moore, *Moore's Federal Practice* ¶ 42.03 [1], at pp. 42-37 to 42-38 & n. 4 (1982)). This is because "a single trial will generally lessen the delay, expense, and inconvenience to the parties and the courts." *Moore's Federal Practice* ¶ 42.03[1], at p. 42-43 (1994). It follows that bifurcation is an unusual remedy that should only be granted in particularly compelling circumstances. *See e.g., Barr Labs., Inc. v. Abbott Labs.*, 978 F.2d 98, 115 (3d Cir. 1992) (remarking on a previous decision and observing that "we condemned the district court's practice of bifurcating trials as a general rule.").

Respondents' motion does not articulate how any relevant FRCP Rule 42(b) factor is present here, other than to say that the litigation will be cut short if discovery reveals that the Commission lacks all jurisdiction over all Respondents. Notably, Respondents do not argue that they will be at all prejudiced if the case is not bifurcated. Instead, they try to misconstrue Commission precedent to pretend that this atypical remedy is commonplace. However, it is more likely that the **ILA** will be prejudiced in its attempts to obtain third-party discovery if bifurcation is granted.

I.

THE CASES CITED BY RESPONDENTS MILITATE DENIAL OF, NOT SUPPORT FOR, THE RESPONDENTS' MOTION

In none of the decisions cited by the Respondents did the Commission actually bifurcate the proceeding in the manner that Respondents are now suggesting in their motion. For example, in *River Parishes Co., Inc. v. Ormet Primary Aluminum Co.*, the administrative law judge ordered partial dismissal based upon a preliminary determination that the Commission lacked jurisdiction, but that ruling was reversed by the Commission on an interlocutory appeal. 96-06, 1996 WL 734236 (Nov. 22, 1996). The Commission explained as follows:

The issue of whether or not the Commission has jurisdiction over this proceeding has not yet been determined. The parties are currently engaged in discovery to determine whether any vessels. . . [are] common carriers, and, therefore, whether the Commission has jurisdiction over the complaint pending before the ALJ. . . . Thus, it is premature to prescribe the limits of the Commission's jurisdiction with respect to the activities of an entity when the parties are still in the process of establishing whether that entity is, in fact, subject to the Commission's jurisdiction. It is speculative at best to attempt to determine the extent of Commission jurisdiction in a case where perhaps one, or perhaps one hundred, common carriers have called at the Terminal. . . . Consequently, the Commission will vacate the ruling granting Ormet's Motion.

1996 WL 734236, at *1. Thus, the Commission acknowledges the uncontroversial premise that, as a matter of logic, a finding of jurisdiction must precede any consideration of the merits, but the Commission did not endorse limiting discovery or routine bifurcation of proceedings. Thus, Respondents' reliance on *River Parishes Co.* in support of its motion is misplaced.

The other cases cited by Respondents are similar. Each case supports the proposition that the Commission—like any administrative law tribunal—must address jurisdiction as a threshold issue before addressing the merits of the claims before it. In each cited case, however, this principle was stated **after full discovery had concluded and dispositive motions had been ruled**

upon. None of the cases support complete bifurcation of the administrative proceeding consistent with Fed. R. Civ. P. Rule 42(b). *Accord River Parishes Co., Inc. v. Ormet Primary Aluminum Co.* 96-06, 1999 WL 125991, at *2 (1999) (discussing extent of discovery engaged in by parties before Commission’s decision); *Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 89-26, 1998 WL 36011848 (June 1, 1998) (“After lengthy discovery, the parties submitted direct, rebuttal and surrebuttal testimony and participated in two oral hearings. . . consisting of myriad exhibits sponsored by witnesses for each of the parties, hearing transcripts, motions, proposed findings of fact, and post-hearing briefs, [the record totaling] approximately 22,000 pages in length.”).

Respondents also cite *Osborne v. United States*, 918 F. 2d 724 (8th Cir. 1990), which discussed whether the Commission may look beyond the private party complaint when a defendant moves to dismiss a complaint for lack of jurisdiction. Respondents have already moved twice to dismiss the ILA’s claims on this ground, in their Motion to Dismiss and in their brief on sovereign immunity, which alleged that the Commission lacked jurisdiction because the ILA failed to join indispensable parties. MTD Br. 7-8; Sov. Br. 7-8. ALJ Wirth ruled that the AVC sufficiently pleads facts to establish jurisdiction over Respondents and ALJ Crovella has ruled that the issue of sovereign immunity will be addressed during the remedy stage of this proceeding. See June 23, 2022 Order, p. 3-4 (“The amended complaint appears to provide sufficient basis for the Commission to assert jurisdiction over this proceeding.”); Nov. 7, 2022 Order, p. 6. Respondents must accept the prior decisions and prior orders in this proceeding.

II.

BIFURCATION OF THIS PROCEEDING WOULD PREJUDICE THE ILA AND WASTE TIME AND THE COMMISSION'S RESOURCES

As stated above, under Federal Rule 42(b), a court may order separate trials on separate claims or issues for “convenience, to avoid prejudice, or to expedite and economize.” Fed. R. Civ. P. 42(b). When ruling on a Rule 42(b) motion, factors to consider in whether or not to grant this atypical relief include:

[W]hether the specific risks of prejudice and possible confusion [are] overborne by the risk of inconsistent adjudications of common factual and legal issues, the burden on parties, witnesses, and available judicial resources posed by multiple lawsuits, the length of time required to conclude multiple suits as against a single one, and the relative expense to all concerned of the single-trial, multiple-trial alternatives.

Tyson v. Cayton, 88 Civ. 8398, 1990 WL 209381, *3 (S.D.N.Y. Dec. 10, 1990).

Respondents argue that this proceeding will go quickly if discovery reveals that the Commission lacks jurisdiction over all Respondents. Other than that observation, they have not articulated how any of the factors of convenience, judicial economy, efficiency, and prejudice militate in favor of bifurcation. On the contrary, these factors weigh against the sort of bifurcation that Respondents are requesting.

When determining whether it has jurisdiction over an entity as an MTO, the Commission has explained that “[t]he statutory scheme contemplates regulation of any entity if it exercises sufficient control over terminal facilities to have a discernible effect on the commercial relationship between shippers and carriers involved in that link in transportation.” *Louis Dreyfus Corp. v. Plaquemines Port, Harbor and Terminal Dist.*, 21 S.R.R. 1072, 1079 (1982). The ILA’s discovery seeks to resolve both whether Respondents exercise such control, and whether the Respondents have exercised such control in a manner that violated the Shipping Act.

In particular, the ILA's discovery seeks to determine to what extent rates and fees are charged and received by Respondents, and the extent to which any one or more of the Respondents control entry and/or departure from the terminal facilities in Charleston and Savannah that Respondents lease or license from the State Ports Authorities. Once obtained, this discovery will help to simultaneously resolve both the jurisdictional question raised by Respondents and provide the necessary documentary evidence for Complainants to establish—or fail to establish—the violations of Counts 2, 3 and 4 of the AVC. *See id.* at 1080 (“Such pervasive involvement in the business of common carriers, marine terminals and the commerce of the United States confers on the Commission jurisdiction over the Port.”). To proceed as suggested by Respondents would necessitate fact discovery in one proceeding on both the operation of such gates and collection of such rates and fees for marine terminal operation/stevedoring services in the two ports and in the second proceeding the amount of such rates and fees collected for stevedoring and marine terminal operation services.

Because the jurisdictional and merit-based discovery is interrelated, the two trials proposed by Respondents will neither save resources nor reduce the length of this proceeding. *McPhee*, 560 F. Supp. 3d at 572. Accordingly, “[t]he most economical and speedy resolution of the entire case is to have one [proceeding], not two.” *Sutton Hill Assocs. v. Landes*, 87 Civ. 8452, 1988 WL 56710, *3 (S.D.N.Y. May 24, 1988).

Besides, Respondents have not shown sufficient prejudice for the Commission to find that bifurcation is warranted. Respondents claim, as they already have in their Partial Motion to Dismiss, that permitting Complainants to engage in discovery on the merits of its allegations will be “unfair, arbitrary, capricious, and beyond the scope of the agency’s authority.” Br. 4. This argument ignores the fact that Complainants have consented to Respondents’ proposed Protective

Order and have consented to the order exactly as it was presented to Complainants by Respondents. And to the extent Respondents argue that Complainants are attempting “to repurpose the Commission as labor negotiations regulator”, Br. 4, n. 7, this argument was previously rejected by ALJ Wirth in her June 23, 2022 Order and restated by ALJ Crovella in her November 7, 2022 Order, p. 4. (“The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations raised may constitute violations of other non-Shipping Act statutes.”).

Moreover, forcing the ILA to undertake two sets of discovery and two separate hearings will prejudice the ILA and inconvenience third parties. The ILA will be forced to depose the same witnesses twice, and there is no guarantee that the Respondents or third parties will retain control over the witness deposed in the jurisdictional proceeding when discovery becomes appropriate in the merit-based proceeding.

CONCLUSION

For the foregoing reasons, the Commission should deny Respondents’ Motion to Bifurcate the Proceeding to Address Threshold Jurisdictional Challenge.

Dated: January 30, 2023
New York, New York

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 30th Day of January, 2023.

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